

reason—you should remember that you’re lucky, not skillful.” To my Democratic friends, I say, “Come on. How could you? You missed out on some great gains out of partisan spite.”

This is not the first time we have mentioned this phenomenon. As noted earlier, during the presidencies of George W. Bush (2003–07) and Barack Obama (2009–17), partisan affiliation seemed to negatively affect investor performance. Those observations were based on anecdotes; the NBER study now provides hard data on the dangers of mixing politics and investing.



From weeks before an election right up through election day, talking heads yell about how momentous election results will be for the stock market. For example, in 2016 they warned us that “Markets Are Afraid of Donald Trump.”³³¹ (LOL.) When markets ignored that statement and rallied after Trump’s victory, a new explanatory narrative was crafted, this one of deregulation, infrastructure stimulus, and tax cuts. Soon after, markets plateaued and went sideways for a while, and the sages blamed high US stock valuations. (LOL again.)

History strongly suggests those pundits should pour themselves a tall glass of *STFU* and be roundly ignored by you, the investor class.³³² There are many reasons why this is so, but between George W. Bush, Barack Obama, and Donald Trump, it’s pretty obvious: Acting on partisan political views only increases your odds of making poor investing decisions.

Regardless, this serves as yet another reminder to avoid investing based on emotions. The range of reasons so many of us use to make investment decisions are impulsive, irrational, and often costly. You (and your children) will be grateful 50 years from now if you keep this in mind today.



Next, we consider what happens following a recession. You will be surprised to learn who suddenly becomes the most influential group of people.
